

another phrase for “asset value.” Furthermore, 80% either started their own business or worked for a small company that saw explosive growth. Explosive growth is another phrase representing asset value. And yet, none of these multimillionaires had a cushy union job down at the DMV. Surprised? Don’t be.

The primary wealth accelerant of the rich boils down to one concept: *Appreciable and controllable assets*. Within our Fastlane wealth equation, this second component is called “Asset Value.” Asset value is simply the worth of any property you own that has marketplace value.

Slowlaners and Fastlaners have two antagonistic views of “assets.” Slowlaners and Sidewalkers buy and sell depreciating assets that decline in value over time. Cars, boats, electronics, designer clothes, gizmos, and sparkly bling to impress that newly divorced woman in the adjacent cubicle—these are all assets that lose value the moment your credit card is charged.

Contrary to this, Fastlaners buy and sell appreciating assets: businesses, brands, cash flows, notes, intellectual property, licenses, inventions, patents, and real estate. As it relates to the Fastlane wealth equation, the power of “Asset Value” lies in your ability to control the variable in a virtually limitless fashion.

WEALTH ACCELERATION BY ASSET VALUE

The rich accelerate wealth by accelerating asset value and selling those upgraded assets in the marketplace.

Twenty-four-year-old Sheila Hinton quits her job to become a roving computer technician, eradicating viruses and cleaning computers. At first, her business operates in the local metropolitan area, but growth forces her to hire additional technicians. Her growth to additional cities is explosive and driven by demand. In a few years, Sheila owns a company that operates in 27 states. She moves from a technician to a facilitator of the system, and her company enjoys an impressive \$2.9 million profit. After enjoying the profits (and saving most of it), she sells her company for \$24 million to a large computer manufacturer. She built an asset from nothing to something. The asset was her system, and now with a \$30 million nest egg, she never has to work again.

The preceding story best represents the two variables that comprise “asset value”:

$$\text{Asset Value} = (\text{Net Profit}) \times (\text{Industry Multiplier})$$

Any time you have an asset that has sustainable profits, an industry multiplier governed by prevailing market conditions determines the valuation of that asset.